

Bankruptcy as a Debt Management Tool

Filing for bankruptcy is not going to help you in the long run if you got there by irresponsible spending habits that you haven't changed. On the other hand, if job loss, high medical bills, disability, death, divorce, or other circumstances not entirely in your control have produced a financial burden you have no hope of getting out from under, bankruptcy may be the only way you can get a fresh start. If you file for bankruptcy, the court will place restrictions on how you can spend money and will not allow you to buy what it considers nonessentials.



[Chapter 13](#) bankruptcy can actually help you learn financial discipline that may prevent you from ending up in the same situation again, because you'll live under a strict budget for the entire repayment period, which is typically between three and five years.

Preventing Bankruptcies

Many bankruptcies can be avoided by practicing good money management:

- Avoid impulse spending.
- Don't use a credit card unless you have the cash to pay it off.
- Tear up credit card offers you receive in the mail.
- Stick to a realistic budget.
- Don't buy more house or car than you can comfortably afford.
- Protect yourself against loss by having adequate medical, homeowner's, and auto insurance.
- Don't make speculative or high-risk investments.